## 7. BUSINESS OVERVIEW *(Cont'd)*

Supply of IoT devices and instruments

We will procure the necessary supplies of IoT devices, instruments, related fittings and consumables from our principals or suppliers. We will make arrangements for the delivery of the supplies through third party logistics services and our in-house team to our customers' designated location. We may also be required to install, test and commission the IoT devices and instruments as well as provide basic training to our customers' employees based on each customer's requirements, all these are mainly conducted by our in-house team. We may engage subcontractors for additional labour services for large scale projects. We will also prepare and submit periodic progress reports to our customers.

Technical support and maintenance services

We engage, manage and supervise subcontractors to perform technical support and maintenance services to our customers. We will also prepare and submit periodic progress reports to our customers.

Construction of water treatment facilities

We manage the overall operation of all phases in the construction and rehabilitation projects which includes engaging, managing and supervising subcontractors to perform civil, structural, mechanical and electrical works. We will also prepare and submit periodic progress reports to our customers.

**(v) Completion of project and quality assessment**

NRW solutions, supply of IoT devices and instruments, technical support and maintenance services and construction of water treatment facilities

We will carry out a final inspection to ensure that our work has been completed in compliance with our customers' requirements upon the delivery of solutions. We will submit a final report comprising the health safety and environment (HSE), quality assurance plan (QAP), training attendance and supporting documents of the undertaken project to our customers for consideration at the end of the project. Once the customers are agreeable upon the final inspection and review of our final report, our customers will issue us the CPC.

Intelli Water System

Once the integration of the hardware and software of the Intelli Water System is complete, we will begin testing, debugging and configuring the Intelli Water System to ensure the overall solution functions as intended. Prior to deployment, our in-house team will conduct UAT with our customers to thoroughly review all functionalities and the UI/UX design.

Upon our customers' satisfaction and approval, we will conduct test runs with the Intelli Water System and begin training our customers' employees to ensure they are able to properly navigate and understand the different functionalities and modules of the system. Once test runs and trainings are conducted, we will deploy the Intelli Water System. Upon completion of the review of the Intelli Water System, our customers will issue us the CPC.

## 7. BUSINESS OVERVIEW *(Cont'd)*

### (vi) DLP

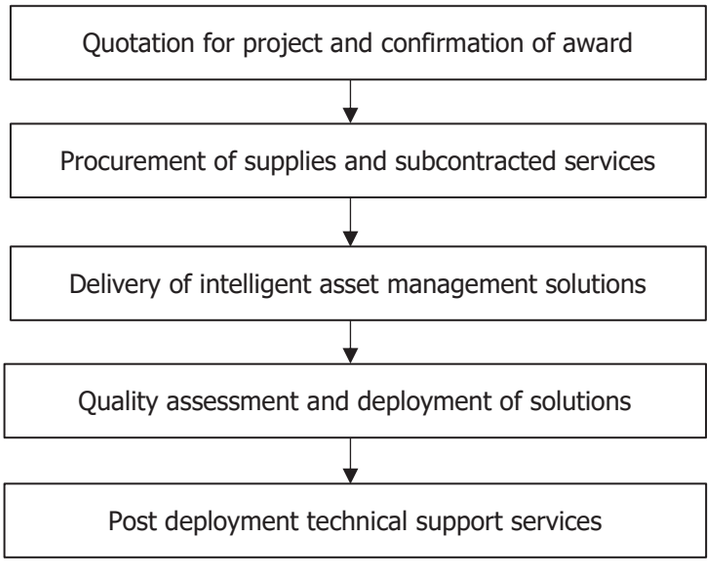
The DLP will begin when the CPC is issued by our customers. During the DLP, upon receiving reports of defects identified by our customers, we will investigate and rectify the defects. The length of the DLP generally ranges from 12 to 24 months. At the end of the DLP, our customers will issue us the CMGD. Thereafter, our customers will release the final payment to us.

Generally, our customers are entitled to either a performance bond ranging from 2.5% to 5.0% of the contract sum, or retain 10.0% of each progress billing, as retention sum, up to a maximum of 5.0% of the contract sum awarded. Our customers will retain the entire retention sum throughout the contract period until the submission of DLP report and issuance of the CMGD by our customers, whereby the full retention sum will be released. The retention sum may be utilised by our customers to remedy defects if we fail to rectify within the agreed period. Similarly, we also retain 10.0% of each certified work done against our subcontractors as retention sum, up to a maximum of 5.0% of the awarded sub-contract value. We will release the full retention sum to our subcontractors at the end of the DLP and upon the issuance of the CMGD as a back-to-back arrangement.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### (b) Intelligent asset management solutions




#### (i) Quotation for project and confirmation of award

We may approach customers or receive requests to quote for projects to provide our intelligent asset management solutions. We may schedule meetings with our prospective customers to propose our solutions and discuss their terms such as the scope of work, project budget, product requirements such as modules and features required and project schedule.

If we need to source for new intelligent asset management solutions, we will send a draft proposal detailing the modules, features, function, flow and design of the customised intelligent asset management solutions upon understanding our customers' requirements. We may also receive requests from our existing customers of our intelligent asset management solutions for enhancements such as addition of modules and functions.

Customers may review our draft proposal and provide feedback and/or request for more features or modules. Once such customers agree to proceed with using our services, they will issue us a letter of award.

#### (ii) Procurement of supplies and subcontracted services

We will procure the hardware required for the intelligent asset management solutions comprising the IT infrastructure such as cellular modems, server storage, display monitors as well as IoT devices and instruments. We will submit purchase orders to our suppliers to procure the necessary supplies and make arrangements for the delivery and installation of the supplies through third party logistics services and/or our in-house team at our customers' designated location.

## 7. BUSINESS OVERVIEW *(Cont'd)*

In the past, we sourced intelligent asset management solutions from a third-party provider (i.e. Place2Stay). We also engage the same provider to adapt the software to suit our customers' requirements. As at LPD, we have our in-house team to adapt our Intelli Water System and existing intelligent asset management solutions to suit any new customers' requirements and industry applications, as well as to develop enhancement to our existing system solutions.

### (iii) Delivery of intelligent asset management solutions

We will commence work with the collection of information and materials from our customers in preparation for the implementation of intelligent asset management solutions.

In the past, the installation and enhancement of the intelligent asset management solutions was done by the third-party provider who supplied us with the solutions. We supervised and monitored the work performed by the said provider to ensure that the system design is aligned with the customers' expectations, and the implementation of the software can be delivered in a timely manner.

As at LPD, we have our in-house IT team to develop enhancement to our existing system solutions as we own the copyrights to all our intelligent asset management solutions. Further, any installation, integration and commissioning works can also be conducted by our in-house IT team.

### (iv) Quality assessment and deployment of solutions

Once the integration of the hardware and software of the intelligent asset management solutions is completed, we will begin testing, debugging and configuring the intelligent asset management solutions to ensure the overall solution functions are as intended.

Prior to deployment, our in-house team will conduct UAT with our customers to thoroughly review all functionalities and the UI/UX design.

Upon our customers' satisfaction and approval, we will conduct test runs with the intelligent asset management solutions and begin training our customers' employees to ensure they are able to properly navigate and understand the different functionalities and modules of the system. Once test runs and trainings have been conducted, we will deploy the intelligent asset management solutions. Following the deployment of the intelligent asset management solutions, the warranty period for the system will commence which generally ranges from 6 to 12 months.

### (v) Post deployment technical support services

Post deployment, we will provide a warranty period, ranging from 6 to 12 months, whereby we provide technical support, maintenance and services to our customers' intelligent asset management solutions as part of our scope of project. During the warranty period, upon receiving reports of technical issues or defects identified by our customers, we will investigate and rectify the issues.

## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.4.1 Quality assurance and quality control

Our Group places great emphasis on the quality of the products and solutions we provide to our customers. We are committed to ensuring that the quality control procedures that we have put in place are compliant with internationally recognised standards and practices (i.e. ISO 9001:2015). We have adopted quality management procedures throughout our customers' project duration to ensure that our solutions comply with the required quality standards.

On 10 January 2025, our Group received our latest certification of registration for ISO 9001:2015 with effective date from 23 February 2022 to 23 February 2028 which certifies that the management system of Exxor Technologies for the provision of project management services for design, construction, civil and structural engineering, M&E engineering and infrastructure, and building works for water distribution systems, assessment and actions to reduce non-revenue water in a water distribution system complies with the requirements of ISO 9001:2015.

### 7.4.2 Source code protection

Our Intelli Water System and intelligent asset management systems are protected under copyright law where Exxor Technologies have obtained the copyright for Intelli Water System, IntelliTrack: Centralised Smart Transport Management System (CSTMS), IntelliConstruct: Integrated Construction Site Resources Information Management System (ICSRIMS), IntelliHotel: Integrated Smart Hotel Operations, Management and Reservation System Using IOT (IHOMRS) and IntelliRoad: Integrated Smart Road Maintenance and Management System (ISRMMS).

Further, in order to prevent other competitors from leveraging the same technology as our systems, we safeguard the source code of our systems through access control and encryption, making it difficult for unauthorised parties to copy or replicate the technology unlawfully or potentially misuse the technology, as detailed below:

| Measures | Description |
|---|---|
| Access control | • Access to the source code is restricted and limited to pieces of the respective modules to authorised personnel only.<br>• Multi-level authentication mechanisms, such as passwords and two-factor authentication, are used to verify user identity.<br>• Role-based permissions ensure that employees can only access the parts of the source code relevant to their responsibilities. |
| Encryption and secure storage | • The source code is stored in encrypted repositories, making it inaccessible to unauthorised parties.<br>• Encryption ensures that even if the data is intercepted, it cannot be read or used without the decryption keys. |
| Version control and monitoring | • All changes to the source code are tracked using secure version control systems.<br>• This ensures accountability and traceability, as every modification is logged and attributed to a specific user.<br>• Regular monitoring of access logs helps detect any unusual or unauthorised activity. |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| Measures | • Description |
|---|---|
| Cybersecurity defenses | • Firewalls are in place to protect the systems from external cyber threats.<br>• Regular security audits are conducted to identify and address vulnerabilities.<br>• Actively monitoring hacking attempts, malware and phishing risks to prevent data breaches. |
| Risk assessment and mitigation | • Continuously assesses potential risks, including insider threats and external attacks.<br>• Insider threats are mitigated by regular monitoring of access logs for unusual activity.<br>• In the event of suspected infringement or leakage, we will rely on our copyright to take appropriate action against unauthorised usage or replication of its technology. |

### 7.5 SALES AND MARKETING

Our Group's sales and marketing activities are as follows:

(a) Tenders

Our Group actively seeks open tender opportunities through tender notices published by water agencies on their website and newspapers. We will review the tenders and participate in tenders that we are interested in and qualified for. Apart from open tenders, we also participate in closed tenders when we are invited by potential customers (i.e. businesses and companies) directly.

(b) Direct approach and industry networking

We secure new customers by conducting internet searches on players that operate in the existing industries that we serve in other states in Malaysia and in overseas, and subsequently directly approaching them. We are also actively sourcing for new products and technologies for potential collaboration with brand principals to expand our product and solution offerings.

We may engage with potential customers or brand principals in a proof of concept (POC) phase to explore the feasibility of our customised solutions for their specific needs. This collaborative stage allows our customers or brand principals to gain a deeper understanding of how our solutions can address specific challenges and improve operations.

We actively engage with our existing customers by maintaining regular communication and following up closely with our customers. We stay up-to-date with their development plans, operational challenges and changing needs. This on-going dialogue allows us to identify new sales opportunities and tailor our offerings to better meet their requirements. We aim to build strong relationships with our customers by building trust and loyalty, which can translate into repeat business and long-term business relationships.

## 7. BUSINESS OVERVIEW *(Cont'd)*

Our networking activities allow us to stay informed about market trends, emerging technologies, and competitor activities. By engaging with our business associates, attending conferences and participating in relevant events, we gain valuable insights that facilitate our strategic decision-making. This knowledge enables us to adapt our solution offerings to better align with market demands, allowing us to remain competitive in the industry.

(c) Referrals from business associates

Our Group benefits from referrals from our business associates, including satisfied customers, suppliers, and subcontractors. By maintaining good relationships and providing quality services, we encourage our business associates to recommend our solutions to their networks. This approach can lead to increased credibility, new business opportunities, and long-term relationships. Through our interactions with these business associates, we also gain insights into emerging trends, industry needs and potential areas for improvement, which can improve our business development and innovation efforts. We value these referrals as they can contribute to our business growth and reputation in the industry.

(d) Participation in trade fairs and exhibitions

Our Group participates in trade fairs and exhibitions to increase brand visibility, market outreach and networking opportunities. These events provide a platform for us to showcase our products and services to a diverse audience, including potential customers, industry experts, and key stakeholders. By attending trade fairs, we can increase brand awareness, network with industry peers, gather market intelligence, and new product offerings. This helps us stay informed about the latest developments in the market, establish valuable connections, and position ourselves for on-going success in the competitive landscape.

During the FYE 2022 to 2025 and up to LPD, we have participated in the following trade fairs and exhibitions:

| Year | Events | Organiser | Location |
|---|---|---|---|
| March 2022 | World Water Day 2022 | Kuching Water Board | Kuching, Sarawak |
| August 2022 | Sarawak Water Supply Retreat 2022 | Kuching Water Board | Kuching, Sarawak |
| October 2022 | Borneo Water & Wastewater Exhibition & Conference 2022 | The Malaysian Water Association | Kuching, Sarawak |
| March 2023 | World Water Day 2023 | Sarawak Water Sdn Bhd (formerly known as LAKU Management Sdn Bhd) | Bintulu, Sarawak |
| October 2023 | World Congress on Innovation & Technology 2023 | Sarawak Digital Economy Corporation Bhd | Kuching, Sarawak |
| October 2024 | Borneo Water & Wastewater Exhibition & Conference 2024 | The Malaysian Water Association | Kuching, Sarawak |
| July 2025 | Digital Nexus 2025 | UNIMAS | Kuching, Sarawak |

## 7. BUSINESS OVERVIEW *(Cont'd)*

(e) Corporate website

We have established our corporate website at https://insightsanalytics.ai as a platform to introduce and broadcast our offerings and capabilities to potential customers. Our corporate website also serves to provide immediate searchable information on our Group.

The current widespread use of internet as a source of information enables us to cross geographical boundaries and facilitate access from any part of the world, enhancing our potential market reach and exposure.

## 7.6 TECHNOLOGY

With our extensive knowledge and experience in water technology solutions for water management, we have since 2019 successfully commercialised our Intelli Water System, an intelligent water management solution which we jointly developed with Intelli Technology Vietnam.

Intelli Water System is a type of intelligent asset management system that leverages on advanced technologies such as IoT, GIS and data analytics to optimise the lifecycle, performance, and maintenance of water assets. This enables proactive asset management and risk management to maximise an asset's value and performance throughout its entire lifespan, within a complex network of assets. By minimising costs through reduction of downtime, and ensuring peak efficiency, safety and compliance, the asset's lifespan is optimised throughout its lifecycle.

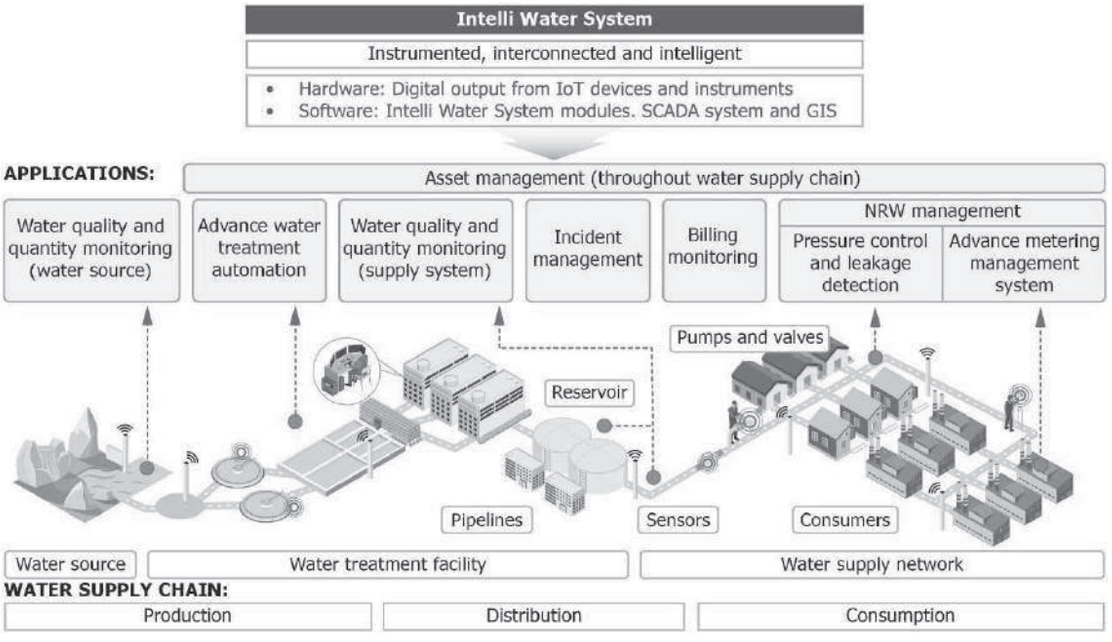
Intelligent asset management system is important in supporting operations across various industries particularly those with assets that are geographically dispersed, critical to operations, or require regular maintenance, efficient remote monitoring, high uptime and reliability, as well as optimised maintenance scheduling and execution. Therefore, leveraging on our knowledge in our Intelli Water System, we also offer IntelliHotel System, IntelliTrack System, IntelliRoad System and IntelliConstruct System.

Each of our technology systems is elaborated below:

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.6.1 Intelli Water System




Intelli Water System has 3 main technological features, whereby it is instrumented, interconnected and intelligent:

- Instrumented: Usage of IoT devices and instruments along the water supply chain to automatically detect, collect and record production and distribution data. The key technology features of each IoT devices and instruments are as follows:

    - Flow meters: Measure the volume or rate of flow of water through mechanical movement (e.g. rotating turbine or propeller), electromagnetic or ultrasonic waves.

    - Data loggers: Contains data storage to record, collect and store data from various sources, such as flow meters, sensors and water meters. Some data loggers have small screens for on-site data visualisation. Data loggers use various communication technologies to transmit data, such as wired communication and cellular internet.

    - Sensors: Automatically detect and measure physical (e.g. water pressure, temperature and flow rates) or chemical parameters (e.g pH and turbidity).

    - Smart meters: Use advanced technologies such as IoT, ultrasonic waves, data analytics and communication protocols to provide accurate and detailed information on water consumption, usage patterns, leak detection, and other relevant data.

    - Water quality analysers: Contain built-in measurement tools (e.g. colorimeter and turbidity meter) to measure and monitor various physical, chemical and biological parameters of water quality.

## 7. BUSINESS OVERVIEW *(Cont'd)*

These devices and instruments may be equipped with communication protocol to enable connection to cellular networks for remote communication, as well as data analytics and machine learning capabilities that allow predictive analytics and anomaly detection.

- Interconnected: Seamless communication amongst the hardware (e.g. IoT devices and instruments) and multiple software (e.g. GIS, SCADA systems, software of the respective IoT devices and instruments and other systems), with the following key technology features:

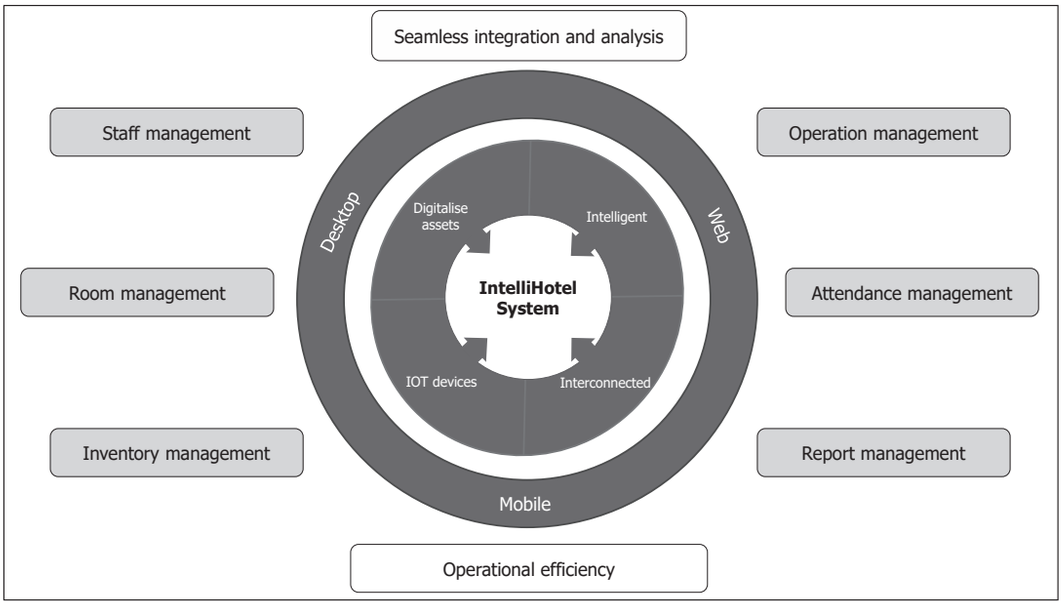
    - GIS, digital mapping system that displays and analyses geographically referenced pipes, IoT devices and instruments, and water treatment facilities.

    - High frequency periodic data collection, update and monitoring across water supply network. Automatically collects data from IoT devices and instruments and/or other systems, processes and analyses on a centralised platform. With continuous collection and analysis of data from various IoT devices and instruments across the water supply chain, water agencies can gain actionable insights into the performance of their water infrastructure. This proactive monitoring not only enables the early detection of abnormalities and potential failures but also supports the optimisation of operational processes and resource management.

    - Customisable accessibility for management team and operational personnels to centralise and update data through onsite and offsite/remote access on multiple devices, including web, desktop and mobile, to facilitate real-time data-backed decision making.

- Intelligent: Customisable modules with the ability to analyse data or issues, enable quick responses and optimise troubleshooting solutions.

### 7.6.2 IntelliHotel System



## 7. BUSINESS OVERVIEW *(Cont'd)*

IntelliHotel System is an integrated smart hotel operations, management and reservation system. IntelliHotel System has 3 main technological features that are also present in our Intelli Water System, as follows:

- Digitalise asset: Usage of IoT devices to create digital representations of physical assets, such as tagging items to automate data collection and monitor usage. Items like electrical appliances, bedsheets, and towels are equipped with identification tags, allowing IoT sensors to track their movement in and out of rooms. This reduces manual tracking errors, streamlines inventory management, and ensures optimal utilisation of hotel resources.

- Interconnected: Seamless integration of assets with communication networks enables real-time data exchange and centralised monitoring. The system supports both online and offline access for uninterrupted operation. Managers can remotely oversee hotel resources through a unified platform, enhancing coordination between departments and improving overall efficiency.

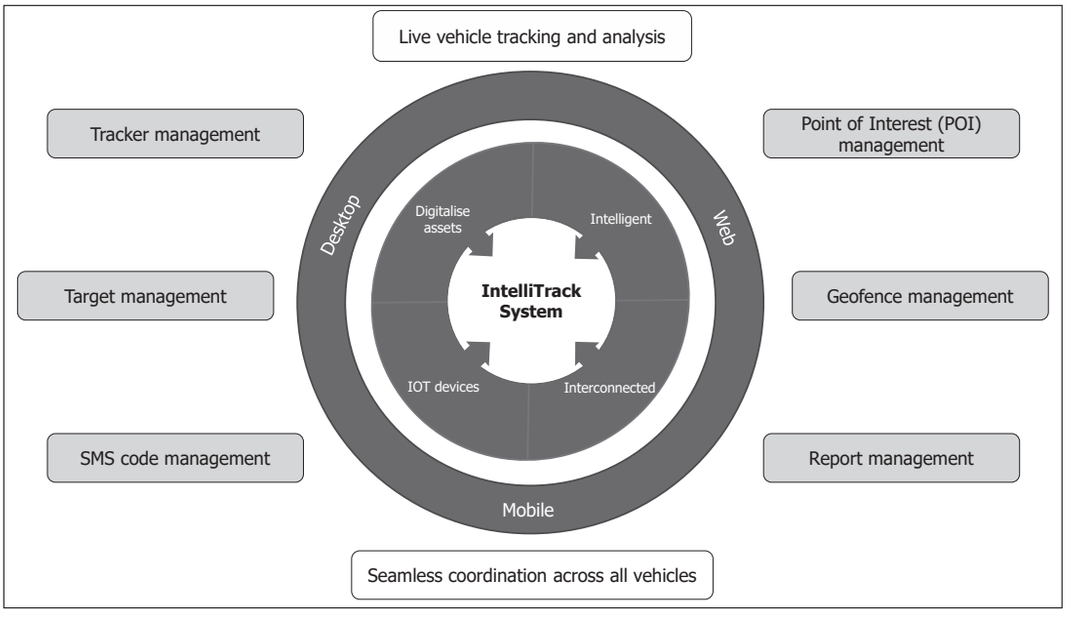
- Intelligent: The system aggregates data from various hotel operations, including occupancy rates and revenue trends. It generates detailed, tailored reports that provide actionable insights, enabling management to identify key strengths, address weaknesses, and make informed decisions to optimise performance and enhance overall efficiency. Further, through advanced data analytics, guest preferences can be identified to personalise marketing strategies, improve service delivery, and enhance the overall guest experience. Predictive maintenance further optimises asset performance, minimising downtime and extending asset lifespan.

IntelliHotel System comprises modules with different functions tailored to the needs of the hospitality industry. Examples of key modules of our IntelliHotel System are as follows:

| Modules | Description |
|---|---|
| Staff management | Manages employee records, roles, schedules and performance. Enables seamless collaboration and productivity. |
| Room management | Facilitates efficient management of room reservation, availability, housekeeping and refurbishments. |
| Inventory management | Tracks and manages hotel inventory, including consumables, amenities, and maintenance supplies. |
| Operation management | Oversees day-to-day hotel operations, ensuring efficiency and quality service delivery. |
| Attendance management | Tracks staff attendance, working hours and other activities, ensuring compliance and accuracy for payroll processing. |
| Report management | Generates analytical reports for operational insights, revenue tracking and compliance monitoring. |

## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.6.3 IntelliTrack System




IntelliTrack System is a centralised smart transport management system. IntelliTrack System has 3 main technological features that are also present in our Intelli Water System, as follows:

- Digitalise assets: Usage of IoT devices to create digital representations of physical assets by installing sensors on vehicles for automated data collection and asset monitoring. These devices track vehicle movement, driving patterns, routes, fuel consumption and efficiency within designated geofenced areas. Equipped with communication protocols, the IoT devices enable seamless connection to cellular networks for remote monitoring and real-time tracking.

- Interconnected: Integrates assets with communication networks to facilitate real-time data exchange and continuous remote monitoring. The system supports both online and offline access for uninterrupted tracking. A centralised monitoring platform allows the operators to oversee fleet activities, optimise routes and enable seamless coordination across all vehicles.

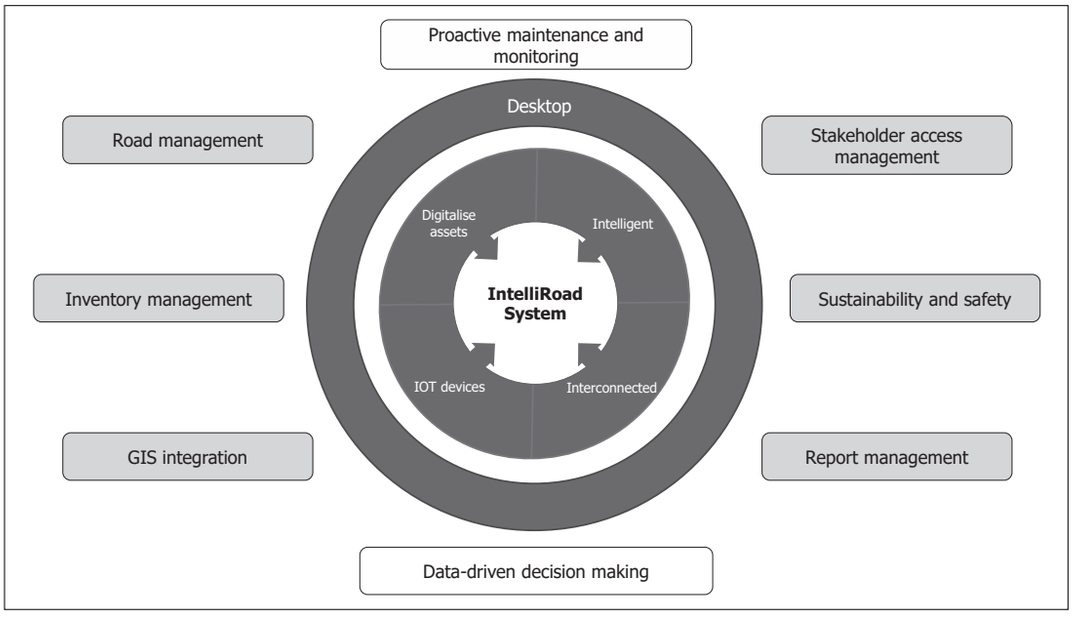
- Intelligent: AI-powered monitoring system provides continuous supervision and leverages advanced data analysis to optimise fleet performance. By utilising AI models, the system assists in fleet management, route planning and enhancing fuel efficiency. The system identifies patterns and generates insights, predicting maintenance requirements and detecting anomalies in driving behaviors. These capabilities contribute to cost reduction, improved resource utilisation, and enhanced fuel management, ultimately boosting overall operational efficiency and enabling data-driven decision-making.

## 7. BUSINESS OVERVIEW *(Cont'd)*

IntelliTrack System comprises modules with different functions tailored to the needs of the transportation industry. Examples of key modules of our IntelliTrack System are as follows:

| Modules | Description |
|---|---|
| Tracker management | Handles registration, activation and monitoring of vehicle tracking devices. |
| Target management | Allows users to set and monitor specific tracking targets, such as destinations, routes or delivery milestones. |
| Short Message Service ("**SMS**") code management | Enables configuration and automation of SMS notifications related to vehicle tracking and alerts. |
| Point of Interest (POI) management | Manages key locations for better navigation and reporting. |
| Geofence management | Allows the creation and monitoring of virtual geographic boundaries for vehicle movement. |
| Report management | Generates detailed insights and summaries based on vehicle tracking data and operational metrics. |

### 7.6.4 IntelliRoad System




IntelliRoad System is an integrated smart road management system. IntelliRoad System has 3 main technological features that are also present in our Intelli Water System, as follows:

- Digitalise assets: Usage of IoT devices to create digital representations of road infrastructure and assets, such as bridges, pavements and signages. These sensors automate data collection and monitor asset conditions, usage and traffic flow. Equipped with communication protocols, the devices enable real-time data transmission through cellular networks for seamless remote monitoring and management.

## 7. BUSINESS OVERVIEW *(Cont'd)*

- Interconnected: Integrates a GIS for centralised monitoring of road infrastructure and assets. It automatically collects, processes and updates high-frequency data from IoT devices, providing insights into road conditions and infrastructure health which can be accessed via desktop, both onsite and remotely, enabling data-driven decision-making and proactive infrastructure management.

- Intelligent: Continuous observation of road infrastructure helps to manage maintenance schedules and identifying issues through data analysis, enhancing efficiency and reducing costs.

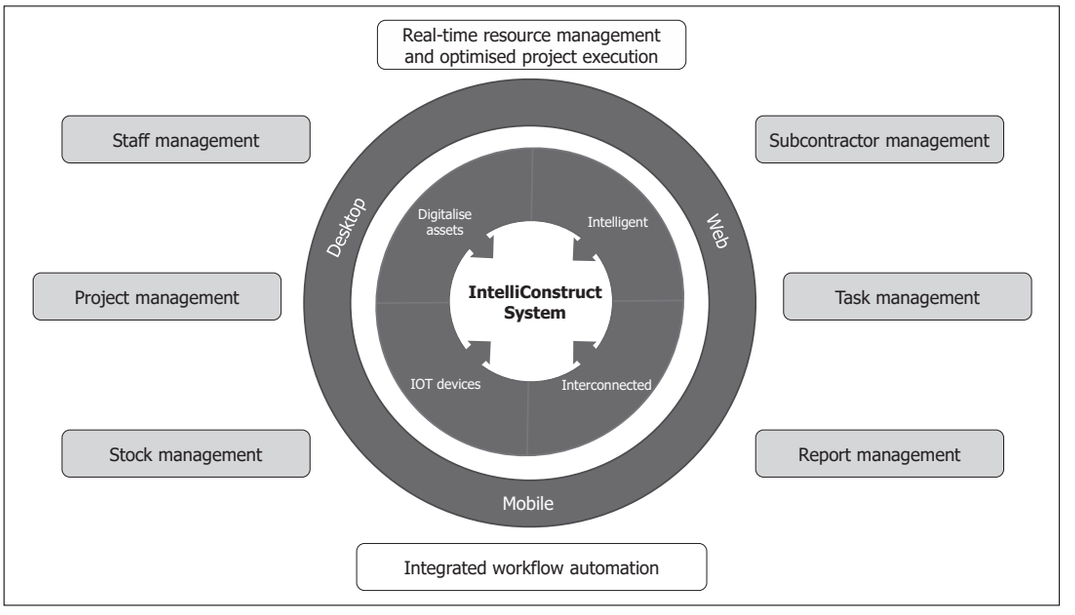
IntelliRoad System comprises modules with different functions tailored to the needs of the transportation industry. Examples of key modules of our IntelliRoad System are as follows:

| **Modules** | **Description** |
|---|---|
| Road management | Stores all the details of road attributes (e.g. name, length, code, width, culvert, bridges, drainage and road shoulder). |
| Inventory management | Manages physical and digital assets related to roads, for example, signboards, route marker and traffic lights. |
| GIS integration | Leverages geospatial data to enhance road and inventory management, enabling location-based analysis and visualisation. |
| Stakeholder access management | Provides secure and role-based access to the system for various stakeholders. |
| Sustainability and safety | Ensures that the road network adheres to sustainability goals and safety standards. |
| Report management | Generates and stores reports to facilitate performance tracking and compliance reporting. |

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.6.5 IntelliConstruct System




IntelliConstruct System is an integrated smart construction site information management system. IntelliConstruct System has 3 main technological features that are also present in our Intelli Water System, as follows:

- Digitalise assets: Usage of IoT devices to establish digital representations of physical assets on construction sites, including machinery, equipment and materials. IoT sensors automate data collection and monitoring by detecting the movement, usage, and performance of these assets. This enables real-time tracking of equipment location, usage hours and operational efficiency, helping to prevent misuse, optimise resource allocation, and ensure visibility. Equipped with communication protocols, these devices seamlessly connect to cellular networks for remote monitoring and data transmission, enhancing asset management capabilities.

- Interconnected: Enables real-time data exchange and remote monitoring through automated, high-frequency data collection from IoT devices and other systems. The data is processed and analysed on a centralised platform, offering real-time insights into machinery status, material inventory, and site performance. The customisable accessibility allows management teams and operational personnel to access updated data onsite or remotely via web, desktop, and mobile platforms, ensuring seamless, data-backed decision-making.

- Intelligent: AI-powered monitoring system for continuous observation and advanced data analysis to optimise construction site operations. AI models perform predictive analysis to forecast equipment maintenance needs and resource requirements, reducing downtime and operational costs. The system detects anomalies in asset usage patterns to identify inefficiencies and address root causes promptly. By analysing site performance, AI enables smarter resource allocation, improves productivity and streamlines decision-making processes. These capabilities ensure proactive management, timely project completion and cost-effective operations.

## 7. BUSINESS OVERVIEW *(Cont'd)*

IntelliConstruct System comprises modules with different functions tailored to the needs of the construction industry. Examples of key modules of our IntelliConstruct System are as follows:

| Modules | Description |
|---|---|
| Staff management | Enables efficient management of construction staff, including worker profiles, roles, attendance and payroll integration. |
| Project management | Monitors construction projects from initiation to completion, ensuring timelines, resources and budgets are aligned. |
| Stock management | Tracks the inventory of construction materials and equipment to ensure availability and prevent delays. |
| Subcontractor management | Manages contracts, performance and deliverables of subcontractors involved in the construction project. |
| Task management | Coordinates and assigns tasks to various teams, ensuring alignment with project goals and deadlines. |
| Report management | Generates reports for stakeholders, providing insights into project status and resources. |

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.7 MAJOR CUSTOMERS

Our Group's top 5 major customers according to their revenue contribution for FYE 2022 to 2025 are as follows:

| No. | Major customer | Revenue contribution | | Products/ services sold | [1]Length of relationship |
|---|---|---|---|---|---|
| | | RM'000 | % | | Years |
| **FYE 2022** | | | | | |
| 1 | JBALB | 22,239 | 76.4 | Water management system solutions, supply of IoT devices and instruments and technical support and maintenance services | [2]13 |
| 2 | Syarikat Choo Brothers Construction[3] | 3,631 | 12.5 | Water management system solutions | 6 |
| 3 | Good Friend Engineering Works & General Trading[3] | 630 | 2.2 | Technical support and maintenance services | 3 |
| 4 | Sibu Water Board | 624 | 2.1 | Water management system solutions, supply of IoT devices and instruments, technical support and maintenance services | 14 |
| 5 | Syarikat Jerico Jaya[3] | 496 | 1.7 | Technical support and maintenance services | 4 |
| | **Sub-total** | **27,620** | **94.9** | | |
| | **Total revenue** | **29,117** | **100.0** | | |

**Notes:**

(1) Length of relationship as at LPD.

(2) JBALB was enforced in August 2015 and started to operate fully in April 2016. JBALB is entrusted with the responsibilities of taking over Jabatan Kerja Raya Sarawak in managing and improving water supply system especially in suburban and rural areas of Sarawak to resolve water supply issues in those areas. Prior to the establishment of JBALB, our Group had established working relationship with Jabatan Kerja Raya Sarawak since 2012.

(3) These companies are the main contractors of JBALB to whom our Group acted as the subcontractor.

## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major customer | Revenue contribution | | Products/ services sold | [1]Length of relationship |
|---|---|---|---|---|---|
| | | RM'000 | % | | Years |
| **FYE 2023** | | | | | |
| 1 | JBALB | 22,250 | 54.8 | Water management system solutions, supply of IoT devices and instruments and technical support and maintenance services | [2]13 |
| 2 | Customer A[3][4] | 11,701 | 28.8 | Construction of water treatment facility | 3 |
| 3 | Good Friend Engineering Works & General Trading[3] | 2,107 | 5.2 | Technical support and maintenance services | 3 |
| 4 | Layun Enterprise Sdn Bhd[3] | 1,285 | 3.2 | Technical support and maintenance services | 3 |
| 5 | Coast [5] | 934 | 2.3 | Water management system solutions, supply of fittings and technical support and maintenance services | 13 |
| | **Sub-total** | **38,277** | **94.3** | | |
| | **Total revenue** | **40,617** | **100.0** | | |

**Notes:**

(1) Length of relationship as at LPD.

(2) JBALB was enforced in August 2015 and started to operate fully in April 2016. JBALB is entrusted with the responsibilities of taking over Jabatan Kerja Raya Sarawak in managing and improving water supply system especially in suburban and rural areas of Sarawak to resolve water supply issues in those areas. Prior to the establishment of JBALB, our Group had established working relationship with Jabatan Kerja Raya Sarawak since 2012.

(3) These companies are the main contractors of JBALB to whom our Group acted as the subcontractor.

(4) Customer A is a private limited company based in Malaysia, which is principally involved in construction.

(5) Coast is the supplier and main contractor of JBALB, Sibu Water Board and Rajang Port Authority (Sibu, Sarawak) to whom our Group acted as the subcontractor. Coast is a related party to our Group, please refer to Section 10.1 for further details.

## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major customer | Revenue contribution | | Products/ services sold | [1]Length of relationship |
|---|---|---|---|---|---|
| | | RM'000 | % | | Years |
| **FYE 2024** | | | | | |
| 1 | JBALB | 14,963 | 46.8 | Water management system solutions, supply of IoT devices and instruments and technical support and maintenance services | [2]13 |
| 2 | Customer B[3] | 3,858 | 12.1 | Intelligent asset management solution | 2 |
| 3 | Good Friend Engineering Works & General Trading[4] | 2,430 | 7.6 | Technical support and maintenance services | 3 |
| 4 | Hytran Sdn Bhd[5] | 1,876 | 5.9 | Intelligent asset management solution | 8 |
| 5 | Syarikat Choo Brothers Construction[4] | 1,565 | 4.9 | Technical support and maintenance services | 6 |
| | **Sub-total** | **24,692** | **77.3** | | |
| | **Total revenue** | **31,950** | **100.0** | | |

**Notes:**

(1) Length of relationship as at LPD.

(2) JBALB was enforced in August 2015 and started to operate fully in April 2016. JBALB is entrusted with the responsibilities of taking over Jabatan Kerja Raya Sarawak in managing and improving water supply system especially in suburban and rural areas of Sarawak to resolve water supply issues in those areas. Prior to the establishment of JBALB, our Group had established working relationship with Jabatan Kerja Raya Sarawak since 2012.

(3) Customer B is a private limited company based in Malaysia, which is principally involved in restaurant operations as well as the provision of technology solutions and training.

(4) These companies are the main contractors of JBALB to whom our Group acted as the subcontractor.

(5) Hytran Sdn Bhd has been our supplier since 2017, providing equipment and maintenance services for water treatment plants. In January 2024, Hytran Sdn Bhd became our customer when we secured a contract to study, design, develop, install, implement, integrate, test, commission, train and maintain a smart transport management system for Hytran Sdn Bhd, to manage their fleet of motor vehicles.

## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major customer | Revenue contribution | | Products/ services sold | [1]Length of relationship |
|---|---|---|---|---|---|
| | | RM'000 | % | | Years |
| **FYE 2025** | | | | | |
| 1 | Tele Kenyalang Engineering Sdn Bhd | 5,324 | 10.7 | Intelligent asset management solution | 1 |
| 2 | Winal Works Sdn Bhd[2] | 3,810 | 7.7 | Building management and billing management system as well as construction of water treatment facilities | <1 |
| 3 | Coast[3] | 2,981 | 6.0 | Supply of IoT devices and consumables and technical support as well as maintenance services | 13 |
| 4 | Eternal Engineering Sdn Bhd | 2,940 | 5.9 | Intelligent asset management solution | 4 |
| 5 | Customer A[2][4] | 2,580 | 5.2 | Construction of water treatment facilities | 3 |
| | **Sub-total** | **17,635** | **35.5** | | |
| | **Total revenue** | **49,639** | **100.0** | | |

**Notes:**

(1) Length of relationship as at LPD.

(2) These companies are the main contractors of JBALB to whom our Group acted as the subcontractor.

(3) Coast is the supplier and main contractor of JBALB, Sibu Water Board and Rajang Port Authority (Sibu, Sarawak) to whom our Group acted as the subcontractor. Coast is a related party to our Group, please refer to Section 10.1 for further details.

(4) Customer A is a private limited company based in Malaysia, which is principally involved in construction.

## 7. BUSINESS OVERVIEW *(Cont'd)*

For FYE 2022 to 2025, our top 5 major customers contributed approximately 94.9%, 94.3%, 77.3% and 35.5% to our Group's total revenue respectively. The majority of our revenue is transacted on project basis with project duration ranging from 12 to 36 months.

We are dependent on JBALB as they contributed approximately 76.4%, 54.8% and 46.8% to our total revenue during FYE 2022 to 2024 respectively, through direct contracts with JBALB. Further, we supplied to JBALB's projects through other contractors whereby we acted as subcontractor. Collectively, JBALB's projects contributed approximately 94.8%, 93.7% and 64.2% to our total revenue during FYE 2022 to 2024 respectively. Although JBALB was not our top 5 major customer in FYE 2025, JBALB remains an important customer to our Group as we have growing unbilled order book for contracts secured directly with JBALB and through other customer where we acted as subcontractor for JBALB's projects, which expected to contribute significantly to our revenue in FYE 2026.

Since the commencement of our business relationship with JBALB in 2011 up to LPD, we have completed 56 projects with JBALB (direct and through other main contractors of JBALB) with cumulative project value of RM252.9 million. Our Group's sales to JBALB are transacted mainly on project basis. Therefore, if JBALB cease to engage our Group's products and services, we will experience a reduction in projects which could result in a loss of revenue.

As a supporting service provider to the water agencies in Sarawak, we are dependent on the capital and operating expenditure of the water agencies in Sarawak, namely JBALB, Sibu Water Board, Sarawak Water Sdn Bhd (formerly known as LAKU Management Sdn Bhd) and Kuching Water Board, all of which are our Group's existing end customers. For clarity, on 1 August 2025, Sibu Water Board and Kuching Water Board have been integrated into Sarawak Water Sdn Bhd. If we are not able to secure more projects related to JBALB or from our other customers, our revenue will be materially affected. However, we are of the view that our Group's continuous effort as well as our long-standing business relationship with the water agencies will enable us to continue to secure future projects.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.8 TYPES, SOURCES AND AVAILABILITY OF SUPPLIES AND SERVICES

The main inputs for our business during FYE 2022 to 2025 mainly comprised subcontractor services as well as devices, instruments and consumables as follows:

| | FYE 2022 | | FYE 2023 | | FYE 2024 | | FYE 2025 | |
|---|---|---|---|---|---|---|---|---|
| **Supplies/ services** | **RM'000** | **%** | **RM'000** | **%** | **RM'000** | **%** | **RM'000** | **%** |
| Subcontracted services[(1)] | 20,311 | 88.2 | 17,065 | 53.4 | 11,869 | 69.9 | 10,622 | 56.3 |
| Devices, instruments and consumables[(2)] | 2,714 | 11.8 | 14,889 | 46.6 | 5,116 | 30.1 | 8,248 | 43.7 |
| **Total purchases** | **23,025** | **100.0** | **31,954** | **100.0** | **16,985** | **100.0** | **18,870** | **100.0** |

**Notes:**

(1) Comprises costs incurred to engage third-party subcontractors for fieldwork (i.e. installation, integration, calibration, testing and commission), maintenance and technical support works as well as construction services.

(2) Comprises IoT devices, instruments and fittings.

Our subcontracted services are sourced locally, while the devices, instruments and consumables are sourced from overseas and local suppliers. These products and services are readily available in the market.

During FYE 2022 to 2025, we have not experienced any material shortages in sourcing the required materials and supplies for our operations as they are readily available from many overseas as well as local suppliers. We also have not experienced any significant price fluctuations in the supplies and subcontractor services we sourced, which led to material impact on our financial performance during FYE 2022 to 2025.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.9 MAJOR SUPPLIERS AND/OR SUBCONTRACTORS

Our Group's top 5 major suppliers and/or subcontractors according to the total purchases for FYE 2022 to 2025 are as follows:

| No. | Major suppliers and/or subcontractors | Purchase value | | Supplier or subcontractor | Products/ services sourced | [1]Length of relationship |
|---|---|---|---|---|---|---|
| | | RM'000 | % | | | Years |
| **FYE 2022** | | | | | | |
| 1 | Hytran Sdn Bhd | 5,232 | 22.7 | Subcontractor and supplier | Equipment and maintenance services for water treatment plants | 8 |
| 2 | Rai Utility Sdn Bhd | 4,385 | 19.0 | Subcontractor | NRW hardware and software supply, establishment of DMAs and PMA, as well as fieldwork services | 8 |
| 3 | NetMg Consulting Sdn Bhd | 2,622 | 11.4 | Subcontractor | Digitisation of GIS drawing services | 5 |
| 4 | Abbaco Controls Sdn Bhd | 1,893 | 8.2 | Subcontractor and supplier | SCADA hardware and software | 8 |
| 5 | HHY Plumbing | 1,722 | 7.5 | Subcontractor | Meter and pipe installation services | 6 |
| | **Sub-total** | **15,854** | **68.8** | | | |
| | **Total purchases** | **23,025** | **100.0** | | | |

**Note:**

(1) Length of relationship as at LPD.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major suppliers and/or subcontractors | Purchase value | | Supplier or subcontractor | Products/ services sourced | [1]Length of relationship |
|---|---|---|---|---|---|---|
| | | RM'000 | % | | | Years |
| **FYE 2023** | | | | | | |
| 1 | Empayar Setia Sdn Bhd | 12,551 | 39.3 | Supplier | Smart meters | 3 |
| 2 | Titisan Mutiara Tarat Sdn Bhd | 8,000 | 25.0 | Subcontractor | Construction services | 3 |
| 3 | Hydrateq Group[2] | 3,646 | 11.4 | Subcontractor | Fieldwork service and meter auditing services as well as supply and installation of meter accessories and pipe fittings | 6 |
| 4 | Hytran Sdn Bhd | 2,261 | 7.1 | Subcontractor and supplier | Maintenance services for water treatment plants | 8 |
| 5 | Abbaco Controls Sdn Bhd | 1,252 | 3.9 | Subcontractor and supplier | SCADA hardware and software | 8 |
| | **Sub-total** | **27,710** | **86.7** | | | |
| | **Total purchases** | **31,954** | **100.0** | | | |

**Notes:**

(1) Length of relationship as at LPD.

(2) The companies within our major supplier and/or subcontractor grouping are as follows:

| Supplier and/or subcontractor grouping | Companies |
|---|---|
| Hydrateq Group | • Hydrateq Services Sdn Bhd (shareholders being Mohd Saffian Bin Abd Rahman, Rozamizan Bin Mohd Zakuan and Mohd Aidil Bin Mohd Tauhid); and<br>• Hydrateq PLT (partners being Mohd Saffian Bin Abd Rahman, Rozamizan Bin Mohd Zakuan and Mohd Aidil Bin Mohd Tauhid). |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major suppliers and/or subcontractors | Purchase value | | Supplier or subcontractor | Products/ services sourced | [1]Length of relationship |
|---|---|---|---|---|---|---|
| | | RM'000 | % | | | Years |
| **FYE 2024** | | | | | | |
| 1 | Hydrateq Group[4] | 7,228 | 42.6 | Subcontractor | Fieldwork service and meter auditing services as well as supply and installation of meter accessories and pipe fittings | 6 |
| 2 | Hytran Sdn Bhd | 3,301 | 19.4 | Subcontractor and supplier | Equipment and maintenance services for water treatment plants | 8 |
| 3 | Place2Stay | [2]2,797 | 16.5 | Subcontractor | Intelligent asset management solutions[3] | 2 |
| 4 | Abbaco Controls Sdn Bhd | 1,109 | 6.5 | Subcontractor and supplier | SCADA hardware and software | 8 |
| 5 | Empayar Setia Sdn Bhd | 547 | 3.2 | Supplier | Smart meters | 3 |
| | **Sub-total** | **14,982** | **88.2** | | | |
| | **Total purchases** | **16,985** | **100.0** | | | |

**Notes**:

(1) Length of relationship as at LPD.

(2) Refers to the cost of the intelligent asset management solutions supplied by Place2Stay, comprising subcontracting fees for software development. For avoidance of doubt, this cost is not part of the purchase consideration of RM13.4 million (including sales and service tax) for the acquisition of source codes of the 4 intelligent asset management solutions from Place2Stay.

## 7. BUSINESS OVERVIEW *(Cont'd)*

(3) After FYE 2024, we acquired the source codes of the 4 intelligent asset management solutions from Place2Stay and rebranded the solutions to IntelliHotel System, IntelliTrack System, IntelliRoad System and IntelliConstruct System. Our Group has also obtained the copyrights for all the abovementioned intelligent asset management solutions in October and November 2024. Following this, the cost of such acquisitions is recorded as our intangible assets.

(4) The companies within our major supplier and/or subcontractor grouping are as follows:

| Supplier and/or subcontractor grouping | Companies |
|---|---|
| Hydrateq Group | • Hydrateq Services Sdn Bhd (shareholders being Mohd Saffian Bin Abd Rahman, Rozamizan Bin Mohd Zakuan and Mohd Aidil Bin Mohd Tauhid); and<br>• Hydrateq PLT (partners being Mohd Saffian Bin Abd Rahman, Rozamizan Bin Mohd Zakuan and Mohd Aidil Bin Mohd Tauhid). |

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## 7. BUSINESS OVERVIEW *(Cont'd)*

| No. | Major suppliers and/or subcontractors | Purchase value | | Supplier or subcontractor | Products/ services sourced | [1]Length of relationship |
|---|---|---|---|---|---|---|
| | | RM'000 | % | | | Years |
| **FYE 2025** | | | | | | |
| 1 | Place2stay | [2]6,508 | 34.5 | Subcontractor | Intelligent asset management solutions and other management systems[2] | 2 |
| 2 | Hydrateq Group | 4,907 | 26.0 | Subcontractor | Fieldwork service and meter auditing services as well as supply and installation of meter accessories and pipe fittings | 6 |
| 3 | Titisan Mutiara Tarat Sdn Bhd | 3,106 | 16.5 | Subcontractor | Construction services | 3 |
| 4 | Hytran Sdn Bhd | 2,324 | 12.3 | Subcontractor and supplier | Equipment and maintenance services for water treatment plants | 8 |
| 5 | Kamstrup Asia Pacific Sdn Bhd | 520 | 2.8 | Supplier | Smart meters | 3 |
| | **Sub-total** | **17,365** | **92.1** | | | |
| | **Total purchases** | **18,870** | **100.0** | | | |

**Notes**:

(1) Length of relationship as at LPD.

(2) Refers to the cost of the intelligent asset management solutions and other management systems (such as procurement management, building management, billing management as well as human resource and finance management) supplied by Place2Stay, comprising subcontracting fees for software development. For avoidance of doubt, this cost is not part of the purchase consideration of RM13.4 million (including sales and service tax) for the acquisition of source codes of the 4 intelligent asset management solutions from Place2Stay.

## 7. BUSINESS OVERVIEW *(Cont'd)*

For the FYE 2022 to 2025, our top 5 major suppliers and/or subcontractors contributed approximately 68.8%, 86.7%, 88.2% and 92.1% of our Group's total purchases respectively. All of our top 5 major suppliers and/or subcontractors for FYE 2022 to 2025 are based in Malaysia.

For the FYE 2022 to 2025, our subcontractor costs were the largest component of our cost of sales, accounted for 85.9%, 54.1%, 61.9% and 53.2% of our Group's cost of sales respectively. We engage subcontractors to perform services required for the project such as fieldwork (i.e. installation, integration, calibration, testing and commission), maintenance and technical support works as well as construction services, with the objective to reduce the need for our Group to employ and maintain a large workforce, which allows for us to better control such operating costs according to the required scale and capabilities of our projects. We also engage subcontractor to develop customised management systems for our customers, of which these systems are not our core intelligent asset management solution offerings. Notwithstanding that, our Group still undertakes the overall project planning, coordination and management of all our subcontracted works and we are accountable to our customers for the execution of the contract and the overall management of the project.

Empayar Setia Sdn Bhd was our Group's largest supplier in FYE 2023, contributing approximately 39.3% to our Group's total purchases. Our Group's purchases from Empayar Setia Sdn Bhd were mainly water meters. Since November 2022, our Group has been appointed by Kamstrup A/S as the authorised non-exclusive distributor for Kamstrup water meters. This enables us to reduce our dependency on Empayar Setia Sdn Bhd and to have an alternative supplier for water meters.

Hytran Sdn Bhd was amongst our top 5 major suppliers from FYE 2022 to 2025 which contributed approximately 22.7%, 7.1%, 19.4% and 12.3% of our Group's total purchases respectively. We engaged Hytran Sdn Bhd as subcontractor and/or supplier based on our project requirements. Hytran Sdn Bhd offers a range of products and services to serve the water industry. On top of the supply of equipment and provision of maintenance services for water treatment plants, it also provides maintenance of high-level tanks. Our Group is not dependent on Hytran Sdn Bhd as the products and services sourced from Hytran Sdn Bhd can be sourced from other suppliers or subcontractors. Nevertheless, as we have established a good long-term relationship with Hytran Sdn Bhd of 8 years as at LPD, we have continued to engage only Hytran Sdn Bhd as our preferred and trusted supplier and/or subcontractor for the supply of equipment and maintenance services for water treatment plants.

Hydrateq Group was amongst our top 5 major supplier in FYE 2023 to 2025 which contributed approximately 11.4%, 42.6% and 26.0% of our Group's total purchases respectively. We engaged Hydrateq Group as subcontractor based on our project requirements. Hydrateq Group offers a range of construction services to serve the water industry. Our Group is not dependent on Hydrateq Group as the products and services sourced from Hydrateq Group can be sourced from other subcontractors. Nevertheless, as we have established a good long-term relationship with Hydrateq Group of 6 years as at LPD, we continue to engage Hydrateq Group as our preferred and trusted subcontractor for fieldwork service and meter auditing services as well as supply and installation of meter accessories and pipe fittings.

## 7. BUSINESS OVERVIEW *(Cont'd)*

All purchases from our suppliers and engagement with our subcontractors are transacted by project or purchase order basis, based on our customers' project requirements. For FYE 2022 to 2025 and up to LPD, we did not experience any major disruptions from our major suppliers and/or subcontractors. Our Group is not dependent on any of our major suppliers and/or subcontractors, and is able to source for the same supplies/services from alternative suppliers/subcontractors in the event that any major suppliers/subcontractors cease to supply materials or services to our Group.

### 7.10 PRODUCTION CAPACITY

Due to the nature of our business whereby the sourcing and supply of products and services are done based on our customers' project requirements throughout the project tenure, operating capacity is not applicable to our business and operations.

### 7.11 INTERRUPTION TO BUSINESS AND OPERATIONS

Our Group had not experienced any interruptions in our business and operations in the last 12 months from LPD which had a significant effect on our operations.

### 7.12 SEASONALITY AND CYCLICALITY

Due to the nature of our business, there are no significant seasonality or cyclical patterns in the revenue of our Group during FYE 2022 to 2025.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.13 R&D

Our R&D activities are currently carried out by our 5 IT employees as at LPD, under the leadership of our Chief Technology Officer. We are committed to deliver effective technology solutions that meet our customers' needs, through on-going investment in technology advancements. By staying informed about our customers' needs, evolving industry developments and stakeholder (e.g. industry governing authorities) goals, we continually improve and evolve our solutions to address current and emerging needs. Our historical R&D achievements as well as on-going R&D projects are summarised as follows:

| Achievement / project | Description | Commencement year | Completed/ Target completion year |
|---|---|---|---|
| Historical R&D achievements | | | |
| Development of Intelli Water System | - Through our past projects with water agencies, we discovered their need for a system to consolidate and integrate multiple water monitoring systems on one platform for seamless monitoring and communication. With our domain knowledge in water management, we collaborated with Intelli Technology Vietnam to jointly develop our Intelli Water System.<br><br>- We implemented the use of tools like advanced editing and productivity tools, integration of technology including SCADA systems and GIS, and enabled data pull from multiple sources.<br><br>- Incorporated GIS-based visualisation tools to optimise resource allocation and improve decision-making processes for water agencies.<br><br>- Successfully installed and implemented IoT devices and instruments to monitor river and reservoir conditions, integrating data such as water quality, flow rates, and pollution levels for comprehensive water asset management.<br><br>- Engineered modular components for Intelli Water System, enabling our customers to customise features like data analytics, reporting and visualisation based on their needs. | 2019 | 2020 |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| Achievement / project | Description | Commencement year | Completed/ Target completion year |
|---|---|---|---|
| Development of intelligent asset management solutions for other industries | - We entered into a MOU with UNIMAS in 2022 and that UNIMAS, which was then developing a smart farming system, sparked our Group's interest in expanding into other industries beyond water sector. We also expanded our networking activities to identify potential collaboration with software solution providers acquainted through UNIMAS events.<br><br>- We identified and collaborated with Place2Stay, a software solution provider whom we met through UNIMAS events, through a MOU to conduct proof of concept to assess the functionality and feasibility of intelligent asset management solutions for other industry applications.<br><br>- With our knowledge in our intelligent water management solution, we leverage on the software solution provider's programming skills to execute joint R&D works. Eventually, the Integrated Smart Hotel Operations, Management and Reservation System, Centralised Smart Transport Management System, Integrated Smart Road Maintenance and Management System and Integrated Construction Site Resources Information Management System were successfully commercialised and rebranded to IntelliHotel System, IntelliTrack System, IntelliRoad System and IntelliConstruct System. | 2022 | 2023 |
| <u>On-going R&D projects</u> | | | |
| AI adaptation and enhancement | - Integration of Knowledge Twin (previously known as Lily) with Intelli Water System, to enable Knowledge Twin's generative AI capabilities to provide users with real-time insights into site conditions and information on assets (e.g. performance, maintenance records and product specifications). | 2024 | 2025 |
| | - Application of AI for predictive maintenance in IntelliTrack System to enable automatic and adaptable monitoring of vehicles conditions for maintenance. | 2024 | 2025 |
| | - Study the use of AI in construction planning modules in IntelliConstruct System to facilitate resource scheduling, cost estimation and project progress tracking. | 2024 | 2026 |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| Achievement / project | Description | Commencement year | Completed/ Target completion year |
|---|---|---|---|
| Enhancement of existing Intelli Water System | - Study the addition of new and upgraded features to expand the functionality of Intelli Water System. Examples of some key features are as follows:<br>• Include measures to enhance data encryption, secure Application Programming Interfaces (API), and user authentication processes to safeguard sensitive water distribution and consumer data.<br>• Enhance data automation processes to ensure seamless integration and real-time synchronisation between production water data and distribution water data.<br>• Enhance UI/UX to provide flexible interface for NRW monitoring;<br>• Integrate billing system onto web-based GIS to enable seamless and automated extraction of data between systems;<br>• Integrate geocoding data (from consumer meters) to analyse meter data (e.g. size, year and consumption) for meter performance tracking; and<br>• Include river monitoring feature in water distribution monitoring module for real-time data collection on river conditions. | 2024 | 2027 |
| New applications and features | - Addition of ticket management module in Intelli Water System, for improved leakage detection. This enables integration of leak incident data from other divisions, as well as inclusion of new web and mobile application designed for operation and dashboard for monitoring all tickets within the water network. | 2024 | 2027 |
| Implementation of new IoT devices | - For IntelliTrack System, to expand the use of sensors to allow real-time tracking of fuel levels, tyre pressure and engine performance of vehicles to support data-based decision making in fleet management. | 2024 | 2027 |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| Achievement / project | Description | Commencement year | Completed/ Target completion year |
|---|---|---|---|
| Adaptive geofencing capabilities | - Application of adaptive geofencing technology in IntelliTrack System, to provide real-time tracking of fleet vehicles even under adverse weather conditions or heavy traffic. To develop algorithms that enable geofenced zones to adapt dynamically based on live data inputs, such as changing weather patterns and traffic conditions, to ensure safer and more efficient fleet operations. | 2024 | 2027 |
| Future R&D projects | | | |
| AI adaptation and enhancement | - Study the expanded use of AI for traffic flow management modules in IntelliRoad System, aimed at enabling users to predict and manage traffic congestion. | 2026 | 2027 |
| | - Study the use of AI analytics with drone-based surveillance in IntelliRoad System to allow remote inspection and monitoring of road and infrastructure conditions. | 2026 | 2027 |
| | - Study the use of AI in IntelliHotel System to enhance guest personalisation experiences through the automation of room temperature and lighting, to enable dynamic pricing and smart revenue management through predictive and adaptive analysis of historical data, market trends, and real-time demand patterns. | 2026 | 2027 |
| New applications and features | - Development of a mobile application for our IntelliHotel System which can be used by hotel guests for keyless room entry and personalised room service. | 2026 | 2027 |
| | - Study the use of building integrated modelling technology which is a 3D model-based tool that provides a digital representation of a site's physical and functional aspects, with real-time IoT device inputs for construction progress in IntelliConstruct System. | 2026 | 2027 |

## 7. BUSINESS OVERVIEW *(Cont'd)*

| Achievement / project | Description | Commencement year | Completed/ Target completion year |
|---|---|---|---|
| Implementation of new IoT devices | - For IntelliRoad System, to study the use of sensors to detect cracks, temperature and load stress on roads. | 2026 | 2027 |
| | - For IntelliHotel System, to expand the use of IoT devices to enable energy conservation in guest rooms via voice-activated controls and automatic adjustments, and to study the use of facial recognition devices for secure, contactless check-in and check-out processes. | 2026 | 2027 |
| Virtual Reality ("**VR**") / Augmented Reality ("**AR**") | - To study the use of VR and AR technologies in our intelligent asset management solutions to help our customers with visual aids in their daily operations, for example:<br>• For IntelliTrack System, visualising fleet positions in real-time on 3D maps.<br>• For IntelliHotel System, virtual concierge services and guided hotel tours on mobile devices.<br>• For IntelliConstruct System, visualisation for design reviews.<br>• For Intelli Water System, visualisation of the entire water network to enable simulation of water network in different scenarios as well as planning of network upgrades and repairs. | 2026 | 2027 |

For FYE 2022 to 2025, the R&D expenses incurred by our Group, comprising staff cost, amounted to approximately RM0.2 million for each FYE, representing 0.7%, 0.5%, 0.6% and 0.4% of our Group's total revenue, respectively. Between 1 May 2025 and up to LPD, the R&D expenses incurred by our Group, comprising staff cost, amounted to approximately RM0.1 million.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.14 COMPETITIVE STRENGTHS

#### 7.14.1 We have an established history and proven track record in the water management industry in Sarawak

We have an established track record in Sarawak as we are involved in the provision of water technology solutions for water management, with a history that spans 20 years since the commencement of our business in 2005.

Our Group has the capability to provide a variety of water technology solutions for water management across the water utility supply chain from water treatment to distribution in Sarawak. Our offerings comprise water management system solutions, supply of IoT devices and instruments, technical support and maintenance services and construction of water treatment facilities. Our solutions facilitate our customers' NRW management and overall management of their water supply operations. We design system solutions for our customers based on their project requirements, and our core expertise is in our technical knowledge and incorporation of water technology in our solutions. Our Intelli Water System is a critical pillar in our water technology solutions, designed to optimise water operations through advanced technologies (i.e. IoT and data analytics), ensuring efficient, secure and reliable water distribution.

Exxor Technologies is registered with UPKJ with the highest category and classification accorded by State Financial Authority of Sarawak (an organisation which oversees UPKJ), where Exxor Technologies is able to participate in Sarawak Government's procurement activities of RM1 million and above for supply and services, (save for the supply of machinery, vehicles, M&E equipment, power generators, workshop equipment including spare parts and accessories whereby our Group is allowed to participate in works below RM200,000 only), as well as RM10 million and above for mechanical and general works. Exxor Technologies is also registered with CIDB as a Grade G7 contractor, the highest classification accorded by CIDB, where it is allowed to tender for construction contracts of unlimited value for building construction, M&E, civil and engineering construction works.

Our integrated approach enables us to support our customers throughout the course of the implementation, operations and maintenance of their infrastructure and projects in the water management industry. We provide our customers with the assurance that they are able to reliably source the various resources required for their projects from us, from consultancy and technical expertise to equipment and technological tools.

Further, with our extensive knowledge and experience in the water management industry, we have since 2019 successfully commercialised our Intelli Water System, an intelligent water management solution which is tailored to the specific needs of our customers in the water sector to improve water pressure management and/or reduce NRW throughout the entire supply chain from water treatment to distribution.

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## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.14.2 We have a strong portfolio of customers in the water management industry with whom we have established longstanding relationships

Our customers are primarily in the water management industry in Sarawak, comprising JBALB, Sibu Water Board, Sarawak Water Sdn Bhd (formerly known as LAKU Management Sdn Bhd) and Kuching Water Board. For clarity, on 1 August 2025, Sibu Water Board and Kuching Water Board have been integrated into Sarawak Water Sdn Bhd.

Since securing these customers, our Group has established longstanding business relationships with them through repeated contracts as evidenced by the length of relationships of up to 13 years with some of our major customers in FYE 2022 to 2025. This has enabled us to pursue future business opportunities with our existing customers.

Our success in securing and retaining customers is a testament to the quality of our products, solution offerings and customer service levels, which provide confidence to our customers. Our growing reputation within the water management industry will in turn attract more business opportunities and continue to enhance our financial performance.

### 7.14.3 We have the capability to adapt our intelligent asset management solutions to cater to different industry applications, allowing us to serve a wide customer base

Our Group's expertise in water technology solutions, particularly in monitoring and tracking the flow, pressure, and movement of water throughout the entire supply chain from water treatment to distribution, has given us a unique understanding of how to manage complex assets in real-time. Our experience in using sensors, IoT devices, and SCADA systems to monitor and control water distribution networks has allowed us to develop a robust and adaptable system, namely Intelli Water System.

By leveraging this expertise, we can source and adapt intelligent asset management solutions to manage assets in other industries. This can include industries such as transportation, where our system can be used to monitor and track the movement of vehicles, goods and materials.

Furthermore, our use of IoT devices, SCADA system and GIS has given us a strong foundation in data analytics and interpretation, and digital mapping. This expertise can be applied to other industries, where our system can be used to analyse data from various sources, providing insights and recommendations for improvement.

Having an in-house IT team is a key strength of our Group. This team allows us to execute continuous R&D activities, enhancing our existing systems and exploring new industry applications. Our in-house IT team also enables us to respond quickly to changing market conditions and customer needs, ensuring that our solutions remain relevant and effective. Further, having our in-house IT team allows us to provide timely responses to technical issues, minimising downtime and ensuring the continuity of our services.

Our adaptability and customisation capability, combined with our expertise in water technology solutions, enables us to provide industry-specific solutions that meet the unique needs of our customers. Upon user acceptance, we are also able to provide service and maintenance and with the benefit of an in-house IT team, we are able to maintain continuous direct and close relationship with our customers and respond to their needs in a timely manner.

Overall, our Group's unique combination of expertise in water technology solutions, data analytics, and adaptability and customisation capability, combined with the strength of our in-house IT team, enables us to provide solutions that meet the specific needs across various industries and allows us to expand our customer base.

## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.14.4 We have an experienced and hands-on key senior management team

Our Group is led by a technically skilled and experienced management team with vast experience in the water management industry, as well as in-depth experience in their respective fields, key expertise and knowledge of our business operations.

Our Managing Director, Ts. Wee Khiam Hui, has approximately 32 years of working experience, with more than 20 years in the water sector. His technical and industry knowledge is instrumental in steering the overall strategic direction and business development of our Group. He leads our Group together with our Executive Director, Bong Joon Fook.

They are supported by our key senior management team, as follows:

| Executive | Position | Years of working experience |
|---|---|---|
| Charlene Bong Myn Ee | Chief Operating Officer | 10 |
| Chong Chiew Mien | Chief Financial Officer | 24 |
| Ts. Dr. Peggy Loh Yee Wey | Chief Technology Officer | 15 |
| Aelred Bong Nan Wyan | Chief Project Officer | 9 |

Our management team has in-depth knowledge and capabilities as a result of their years of experience. Our management team has played a vital role in promoting our growth and business expansion and will continue to contribute to our growth in the future. Please refer to Sections 5.1.2 and 5.3.3 for further details on the profiles of our Executive Directors and key senior management team.

## 7.15 FUTURE PLANS AND STRATEGIES

### 7.15.1 We intend to expand our in-house IT capabilities to support our R&D activities

For FYE 2025, our Group generated revenue of RM33.9 million from our intelligent asset management solution segment. As at LPD, our Group has secured 18 projects with an unbilled order book of RM16.4 million in the intelligent asset management solution segment. Further, we have secured 1 project related to our Intelli Water System with an unbilled order book of RM0.2 million for technical support or upgrading works.

In order to support our increased IT related projects and in line with our on-going expansion plan, we intend to expand our in-house software development and programming capabilities. To achieve this, we intend to recruit and hire additional employees dedicated to enhance our intelligent asset management solutions. This will involve the recruitment up to a total of 9 new employees under our IT department comprising software engineer, system analyst, machine learning engineer as well as data researcher. We intend to allocate RM1.9 million from our gross proceeds from the Public Issue to fully fund the salary cost of new employees within 24 months of our Listing.

In order to enhance our in-house software development capabilities as well as to accommodate the increase in working capacity from the recruitment of new employees, we intend to set up a mini data centre to upgrade our existing IT and networking infrastructure. The mini data centre comprises server infrastructure, storage solutions, networking infrastructure, security system and fire suppression system. We will utilise our existing hardware and software, and purchase more hardware (e.g. air conditioning system, server and network infrastructure as well as storage systems) and software (e.g. GIS, data visualisation, operating software and security software). We intend to allocate RM1.1 million from our gross proceeds from the Public Issue within 18 months of our Listing to fully fund the purchase of IT equipment and purchase and subscription of software.

## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.15.2 We intend to grow our market share and presence in the water management industry in Sarawak by securing more projects

For FYE 2022 to 2025, our water technology solutions segment contributed RM29.1 million, RM40.6 million, RM21.7 million and RM15.7 million to our Group's revenue respectively. As at LPD, our Group has secured 6 projects with an unbilled order book of RM18.9 million for our water technology solutions segment.

Notwithstanding our intelligent asset management solutions segment growing at a significant rate (68.4% contribution to our Group's revenue for FYE 2025) and attaining considerably better margins (GP margin of 77.0% compared to 22.6% for the water technology solutions segment in FYE 2025), we will continue to tender for and secure more projects from the water agencies in Sarawak, which will grow our revenue and subsequently increase our market share in the water management industry. As at LPD, our Group has submitted 4 project tenders with a potential project value of RM27.8 million for the provision of water technology solutions in Sarawak. We believe that this strategy is a more practical approach that capitalises on our reputation as a strong water management industry player in the past, and has more sustainable prospects with government projects.

As a reputable water technology industry player with established track records in Sarawak, our Group stands to benefit from the increasing opportunities and demand for water technology solutions from government initiatives in the water sector. For example, the Sarawak Government has emphasised, through the Water Sector Transformation 2040 ("**WST2040**") on the adoption and integration of water technology, in line with Industry 4.0 in water management for data-driven and efficient operations to support long-term development and resilience in the water sector; and Ministry of Energy Transition and Water Transformation (PETRA) announced the approval of its national NRW programme, aimed at enhancing water management throughout Malaysia, with an approved budget of RM2.5 billion. Additionally, RM4 billion has been allocated by Sarawak Government to implement the Sarawak Water Supply Grid programme, targeting water-stressed areas through the roll-out of 298 projects, including initiatives under SAWAS. SAWAS is an initiative to provide dedicated water supply systems for remote settlements that are located far from main water pipelines. The implementation of SAWAS serves as one of the key initiatives to help achieve Sarawak's goal of 100% water supply coverage by 2030. Further, we believe that our Group's continuous effort as well as our long-standing business relationship with JBALB and other water agencies in Sarawak will enable us to continue securing orders from them. We also intend to enhance our operations and secure more projects in West Malaysia, as detailed in Section 7.15.3.

For FYE 2022 to 2025, the subcontractor costs and cost of devices, instruments and consumables accounted for 94.0%, 96.5%, 94.7% and 91.8% to our Group's total cost of sales respectively. For the majority of our projects, a performance bond ranging from 2.5% to 5.0% of the contract sum, or retention sum of 10.0% of each progress billing and up to a maximum of 5.0% of the contract sum awarded is required by our customers. Hence, we require working capital to fund our on-going and future projects.

As such, we intend to allocate RM22.2 million from our gross proceeds from the Public Issue within 24 months of our Listing as working capital requirement to partially fund subcontractor costs and cost of IoT devices, instruments and consumables that will be used in the provision of water management system solutions, and payment of performance bond or retention sum. This will enable us to meet our short-term obligations for on-going projects as and when they fall due to support our business growth.

## 7. BUSINESS OVERVIEW *(Cont'd)*

### 7.15.3 We intend to strengthen our market presence in West Malaysia by setting up a new support team to be based at our West Malaysia branch office

As at LPD, our operations in West Malaysia is supported by our project and IT teams based in Kuching, Sarawak, who travel to West Malaysia as and when required as we do not have any employees permanently based at our West Malaysia branch office. We implemented and handed over our Intelli Water System to our first end user in West Malaysia, namely Air Kelantan Sdn Bhd, in February 2023. For intelligent asset management solution segment, our first customer in West Malaysia was Hytran Sdn Bhd whereby we implemented and handed over Smart Transport Management System (subsequently rebranded to IntelliTrack System) to them in May 2024 and its warranty period ended in July 2025. As at LPD, we have also implemented and handed over 4 more projects in the intelligent asset management solutions segment for 4 customers in West Malaysia and 3 of these projects are under warranty period of up to September 2026. Hence, as part of our business expansion, we intend to strengthen our market presence and operations in West Malaysia through the recruitment of employees to be permanently based at our West Malaysia branch office in Puchong, Selangor.

We intend to recruit up to a total 9 new employees comprising business development manager, business development executive, market research analyst, technical business developer and IT administrative assistant. We intend to allocate RM1.2 million from our gross proceeds from the Public Issue over a period of 24 months from the commencement of recruitment to fully fund the salary cost of employees at our West Malaysia branch office.

Having employees permanently based at our West Malaysia branch office will support our business expansion in West Malaysia and allow our Group to capture opportunities for water technology solutions and intelligent asset management solutions in West Malaysia as we will be in close proximity to, and accessible by, local customers in West Malaysia. Having a physical presence locally will allow us to enhance the delivery of our solutions and better support our customers, which will provide greater confidence to our local customers to source water technology solutions and intelligent asset management solutions from us. We believe that this will enable us to secure customers and grow our sales in West Malaysia, and subsequently drive the overall growth of our business.

### 7.15.4 We intend to relocate to a larger office as our new corporate office in anticipation of our business expansion

As at LPD, we are operating from our corporate office comprising 3 office units, 2 of which we currently own and 1 unit which we rent, located in Kuching, Sarawak. Our current office has a total built-up area of approximately 2,766 sq ft and comprises our management and administrative office and a small server room. To support the continued growth of our business, we intend to purchase and relocate to a larger office with built-up area of approximately 6,000 to 7,000 sq ft, to enable our Group to undertake the following expansion:

(i) Approximately 200 to 300 sq ft of space will be allocated for the set up of the mini data centre to enhance our IT facilities, which is in line with our plan to enhance and expand our Intelli Water System and intelligent asset management solution offerings. Please refer to Section 7.15.1 for more details on our expansion of in-house IT capabilities.

(ii) To house the expected increase in workforce in anticipation of our business expansion as we continue to secure more sales. We intend to recruit up to a total of 9 additional employees to support our business expansion. Please refer to Section 7.15.1 for more details on the recruitment and expansion of our IT department.

## 7. BUSINESS OVERVIEW *(Cont'd)*

The growth of our water technology solutions segment will continue to be driven by increasing need for operational efficiency in water management to strengthen the security of water resources and mitigate NRW, and government initiatives to leverage on water technology for sustainable and efficiency in water management. Given such prospects, our Group believes that by enhancing our solution offerings and expanding our business operations, we will be able to boost our competitiveness and to capture opportunities for water technology solution services.

As at LPD, we are in the midst of identifying a suitable office in Kuching, Sarawak as our new corporate office. The exact location and size of the new premises are subject to changes due to prevailing property prices and the availability of suitable office spaces. Nevertheless, we intend to allocate RM3.3 million from our gross proceeds from the Public Issue within 18 months of our Listing, to partially fund the setting up our new office which comprise purchase cost of the new corporate office as well as renovation and interior outfit cost. Upon relocating to the new corporate office, we intend to cease rental of 1 office unit and may rent out or sell the remaining 2 office units of our existing corporate office in Kuching, Sarawak.

### 7.15.5 We intend to expand our business through strategic investments, mergers and acquisitions opportunities

Our business growth strategies include strategic investments, mergers and acquisitions that directly strengthen our position as a leading water technology solutions provider. We intend to allocate RM9.0 million of the gross proceeds from our Public Issue for investments, mergers and acquisition opportunities that enhance our core capabilities, and we intend to focus our acquisition targets on companies providing:

(i) water technology solutions relating to NRW reduction as well as technical support and maintenance services for water-related devices, instruments and systems; and

(ii) intelligent asset management solutions for various industries.

Our acquisition criteria prioritise companies with established track record in water technology or intelligent asset management solutions with complementary expertise that enhances our offerings, providing value chain integration for our existing segments and customers by way of facilitating our Group's entry into new verticals. We seek companies that offer clear synergies with our existing water technology portfolio, particularly those with specialised expertise, proprietary technologies or established market presence that can expand our capacity and accelerate our service delivery and technical capabilities. Our Group is in the midst of exploring investment and acquisition opportunities in companies within Malaysia which meet the abovementioned criteria. As at LPD, our Group has not identified any prospective acquisition nor have we entered into any binding agreements for any acquisition.

Our evaluation process includes assessment of target companies' financial performance, market position, and growth potential, followed by evaluation of strategic fit with our existing business operations and long-term objectives. We conduct thorough due diligence processes to verify technical and operational capabilities, customer relationships, and financial performance before proceeding with any acquisition decisions.

For the avoidance of doubt, such strategic investments, mergers and acquisitions shall be distinguished from our future plan in relation to business expansion in Malaysia as set out in Section 7.15.1 to 7.15.4 above, which is organic in nature.

## 8. IMR REPORT

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SMITH ZANDER

Date: 17 September 2025

The Board of Directors

**Insights Analytics Berhad**
Parcel Lot No. D272, D273 & D274
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Jalan Pending
93450 Kuching, Sarawak

Dear Sirs/ Madams,

**Independent Market Research Report on the Water Management Industry in Malaysia and Intelligent Asset Management Solutions Industry in Malaysia ("IMR Report")**

This IMR Report has been prepared by SMITH ZANDER INTERNATIONAL SDN BHD ("SMITH ZANDER") for inclusion in the Prospectus in conjunction with the initial public offering and listing of Insights Analytics Berhad on the ACE Market of Bursa Malaysia Securities Berhad.

The objective of this IMR Report is to provide an independent view of the industry and market(s) in which Insights Analytics Berhad and its subsidiaries ("IAB Group") operate and to offer a clear understanding of the industry and market dynamics. As IAB Group is a technology solutions provider, principally involved in the supply of water technology solutions for water management across the water utility supply chain from water treatment to distribution, primarily in Sarawak, the scope of work for this IMR Report will address the following areas:

(i) The water management industry in Malaysia;
(ii) Key demand drivers, risks and challenges of the water management industry in Malaysia;
(iii) Competitive landscape of the water management industry in Malaysia; and
(iv) The intelligent asset management solutions industry in Malaysia.

The research process for this study has been undertaken through secondary or desktop research, as well as detailed primary research when required, which involves discussing the status of the industry with leading industry participants and industry experts. Quantitative market information could be sourced from interviews by way of primary research and therefore, the information is subject to fluctuations due to possible changes in business, industry and economic conditions.

SMITH ZANDER has prepared this IMR Report in an independent and objective manner and has taken adequate care to ensure the accuracy and completeness of the report. We believe that this IMR Report presents a balanced view of the industry within the limitations of, amongst others, secondary statistics and primary research, and does not purport to be exhaustive. Our research has been conducted with an "overall industry" perspective and may not necessarily reflect the performance of individual companies in this IMR Report. SMITH ZANDER shall not be held responsible for the decisions and/or actions of the readers of this report. This report should also not be considered as a recommendation to buy or not to buy the shares of any company or companies as mentioned in this report.

For and on behalf of SMITH ZANDER:

**DENNIS TAN**
MANAGING PARTNER

SMITH ZANDER

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The research for this IMR Report was completed on 8 September 2025.

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***About SMITH ZANDER INTERNATIONAL SDN BHD***

*SMITH ZANDER is a professional independent market research company based in Kuala Lumpur, Malaysia, offering market research, industry intelligence and strategy consulting solutions. SMITH ZANDER is involved in the preparation of independent market research reports for capital market exercises, including initial public offerings, reverse takeovers, mergers and acquisitions, and other fund-raising and corporate exercises.*

***Profile of the signing partner, Dennis Tan Tze Wen***

*Dennis Tan is the Managing Partner of SMITH ZANDER. Dennis Tan has over 27 years of experience in market research and strategy consulting, including over 22 years in independent market research and due diligence studies for capital markets throughout the Asia Pacific region. Dennis Tan has a Bachelor of Science (major in Computer Science and minor in Business Administration) from Memorial University of Newfoundland, Canada.*

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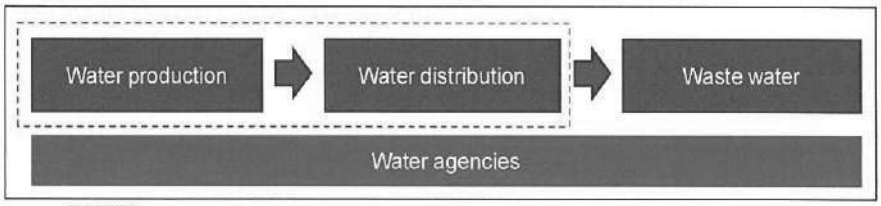
# 1 THE WATER MANAGEMENT INDUSTRY IN MALAYSIA

## Overview

The water sector encompasses activities related to the production (i.e. sourcing and treatment) and distribution of water, wastewater treatment as well as the overall management and monitoring of the availability, usage and sustainability of water resources, infrastructure and systems throughout the water supply chain.

Water management refers to the strategic planning and development of water supply and distribution systems to ensure accessible, reliable and quality water supply, as well as to conserve valuable water resources for sustainable water supply.

**Water supply chain, Malaysia**




*Note: [----] denotes segments where IAB Group is supporting the water agencies.*

*Source: SMITH ZANDER*

Management of non-revenue water ("NRW") is critical in water management to effectively reduce water loss and revenue loss by water agencies. Water management solutions encompass a broad range of products and services, including technology solutions as well as devices and instruments (e.g. water meters, flow meters, data loggers and water quality analysers). These solutions are complemented by technical support, maintenance services, and construction services.

Effective 1 August 2025, water supply and management in Sarawak will be carried out by Sarawak Water Sdn Bhd, formerly known as LAKU Management Sdn Bhd, following a merger with the Sibu Water Board ("SWB") and Kuching Water Board ("KWB"). Sarawak Water Sdn Bhd will assume the responsibilities previously carried out by SWB and KWB, including managing the water supply operations in the Southern, Central and Northern regions of Sarawak. The Sarawak Rural Water Supply Department or *Jabatan Bekalan Air Luar Bandar* (JBALB) was excluded from this merger and maintains jurisdiction over rural water infrastructure development.

## Leveraging on water technology to drive sustainability and efficiency in water management

The adoption of water technology, comprising smart technologies and data analytics, is crucial in water management, as it enables automation and improves operational efficiency throughout the water supply chain. The Water Sector Transformation 2040 ("WST2040") urges the adoption and integration of water technology, in line with Industry 4.0 in water management for data-driven and efficient operations to support long-term development and resilience in the water sector. Please refer to Chapter 2 of this IMR Report for further details on the WST2040.

The use of Internet of Things ("IoT") devices, such as smart sensors and smart water meters, automates data collection and allows for constant monitoring, enabling proactive measures to manage water supply, detect leakages, and reduce losses. However, with multiple IoT devices and brands used along the water supply chain, each equipped with its own software and systems, consolidating data across various devices and systems is essential for seamless communication, centralised monitoring and meaningful analysis.

Intelligent water management solutions integrate advanced technologies including, but are not limited to, IoT devices, data analytics, artificial intelligence ("AI"), Supervisory Control and Data Acquisition ("SCADA") system and Geographic Information System ("GIS"). Intelligent water management solutions provide a centralised platform for intelligent data management, enabling high periodic (near real-time) data collection, monitoring, storage and adaptable analysis. The solutions allow water agencies to have a holistic view of the water treatment and distribution system's performance, increase onsite and offsite personnel accessibility to accurate information; allowing for data-driven decision-making, optimise resource management and proactive issue identification. This ultimately leads to improved service reliability, reduced operational costs, more efficient use of water assets and sustainability of water supply.

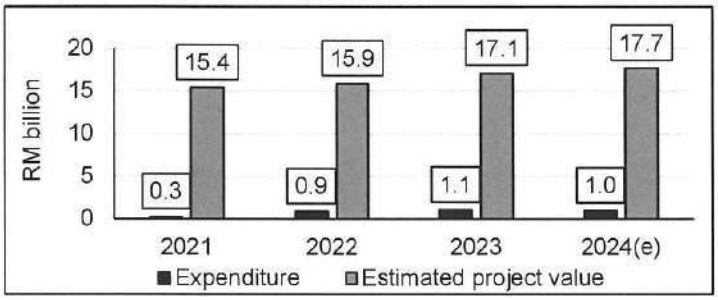
## 8. IMR REPORT *(Cont'd)*



### Industry performance, size and growth

As a supporting industry to the water sector, the performance of the water management industry in Malaysia can be represented by the government's expenditure and estimated project value for the water sector in Malaysia.

**Expenditure and estimated project value* for water sector, Malaysia, 2021 – 2024**




*Notes:*

- ** Comprise federal level[1] expenditure and estimated project value for the development of national water resources; water supply plan; and NRW. The information specifically for Sarawak is not publicly available.*
- *(e) – estimate.*

*Sources: Ministry of Finance Malaysia, SMITH ZANDER*

From 2021 to 2023, the growth in expenditure for the water sector in Malaysia increased from RM0.3 billion to RM1.1 billion at a compound annual growth rate ("CAGR") of 91.5%. Over the same period, the estimated project value for the water sector in Malaysia also exhibited a growth trend at a CAGR of 5.4% from RM15.4 billion in 2021 to RM17.1 billion in 2023.

According to the Ministry of Finance Malaysia, expenditure for the water sector is expected to decline at a year-on-year ("YOY") rate of 9.1% to RM1.0 billion in 2024. Nonetheless, the estimated project value in 2024 is expected to rise at a YOY rate of 3.5% to RM17.7 billion, in tandem with the rise in water development initiatives in Malaysia.

Some of the government initiatives to improve and upgrade the water sector throughout Malaysia are as follows:

- Approval of the National NRW Programme with the aim to alleviate NRW challenges, which will commence from 2025 to 2030. The National NRW Programme entails expenditure amounting to RM2.53 billion and consists of 2 strategies in tackling NRW. The first strategy involves the replacement of critical pipes and holistic NRW solutions, which include the adoption of water technologies, in Pahang, Kelantan, Perlis, Sabah, Sarawak and the Federal Territory of Labuan ("F.T. Labuan"). The second strategy is the introduction of a prorated rebate system to tackle NRW, which applies to the remaining states comprising Selangor, Johor, Negeri Sembilan, Melaka, Terengganu, Perak, Penang and Kedah.
- Annually, Pengurusan Aset Air Berhad ("PAAB") apportions RM1 billion for water piping system repair and upgrade works throughout Peninsular Malaysia.
- Provision of loan amounting to RM211.5 million by PAAB to replace asbestos pipes spanning a distance of 393 kilometres, with the project anticipated to complete by October 2025.
- To overcome water supply issues in Sabah and F.T. Labuan, the Government of Malaysia intends to focus on the restoration and replacement of infrastructure and equipment to improve water treatment plant capacity in Sabah, and replace dilapidated pipes and repair existing water infrastructure in F.T. Labuan.
- Allocation of RM500 million for the construction of the Machang Water Treatment Plant in Kelantan to address water supply issues and reduce NRW in Kelantan.
- Allocation of RM206.8 million for water infrastructure development in Johor.
- The announcement of 38 water infrastructure projects in Pahang under PETRA worth RM5.9 billion, with an allocation of RM504.2 million in 2025 for these initiatives.

[1] *The federal level expenditure and estimated project value for the water sector is currently under the purview of the Ministry of Energy Transition and Water Transformation ("PETRA"). The data for 2021 to 2023 was captured under the previous relevant ministries.*

- Introduction of the REKA+ competition by the National Water Services Commission or *Suruhanjaya Perkhidmatan Air Negara* ("SPAN"), which is an initiative to encourage the youth to engage with and innovate on sustainable water solutions, as part of the MADANI Smart Water campaign.

In addition to the water initiatives rolled out by PETRA, the respective state governments in Malaysia have also implemented their own water development initiatives. The expenditure and estimated project value for the water sector for initiatives implemented by the respective local state governments, specifically for Sarawak, are not publicly available. Nevertheless, in Sarawak, some of the government initiatives introduced are as follows:

- In 2017, through the Ministry of Utility and Telecommunication Sarawak, the Sarawak Government introduced the Sarawak Alternative Water Supply ("SAWAS") initiative to provide dedicated water supply systems for remote settlements that are located far from main water pipelines. The implementation of SAWAS serves as one of the key initiatives to help achieve Sarawak's goal of 100% water supply coverage by 2030.
- A total of 46 projects, comprising 33 extension projects and 13 new projects, which amounted to RM6.01 billion were approved through PETRA under the 12th Malaysia Plan for Sarawak. The approved projects include various projects such as water treatment plant upgrades, sewerage system development and development of sewage treatment plants in Sarawak.
- Since 2018, under the Alternative Funding Scheme and allocations under the 12th Malaysia Plan, RM4.6 billion had been earmarked for the implementation of 407 water supply projects in Sarawak.
- According to the Sarawak Budget 2025, the Sarawak Government had set aside RM452 million under alternative funding to increase the supply of clean and treated water throughout the state. This includes allocation designated for the SAWAS initiative in 2025. Moreover, RM352 million had been allocated for the implementation of water supply projects under the 12th Malaysia Plan.
- By 2030, the Sarawak Government aspires to have a new water piping system in the state through the complete replacement of its water pipes with an allocation of RM1.1 billion, whereby the pipes would be connected to smart device systems.
- Under the Sarawak Water Supply Master Plan, Sarawak plans to develop 20 new water treatment plants to meet the rising demand for clean water across the state. An estimated RM20 billion is needed to have full water coverage supply to all areas in Sarawak.
- Furthermore, RM4 billion has been allocated to implement the Sarawak Water Supply Grid programme, targeting water-stressed areas through the roll-out of 304 projects, including initiatives under SAWAS.
- Under the 13th Malaysia plan, an additional RM600 million has been earmarked for strengthening of Sarawak's water supply system.

The introduction of the abovementioned government initiatives reflects the nation's commitment in elevating the water sector in Malaysia. The water management industry is in a strong position to leverage on the projects arising from the above government initiatives, as they cater to the demand for products and services that are vital in realising the nation's goals for the water sector. This is expected to continue supporting the growth of the water management industry moving forward.

## 2 KEY DEMAND DRIVERS, RISKS AND CHALLENGES OF THE WATER MANAGEMENT INDUSTRY IN MALAYSIA

### Key demand drivers

► **The WST2040 will drive the adoption of technology in water management**

Under the 12th Malaysia Plan, the Government of Malaysia has introduced the WST2040 to enhance efficiency in water management, unlock the economic potential of the water sector, generate employment opportunities and safeguard water security. A long-term plan, the WST2040 will be implemented in 4 phases from the 12th to 15th Malaysia Plans, with initiatives in the 12th Malaysia Plan focusing on